100 Multiple-Choice Questions

Information Systems in Organizations

Part I — Organizations and Value Added

1. What is an organization?

A. A formal group pursuing defined goals
B. A random group without shared goals
C. A database containing company records in
D. A computer program that manages payroll

Correct answer: A. Explanation: The lecture defines an organization as a formal collection of people and other resources established to accomplish goals.

2. What is the primary goal of a for-profit firm?

A. Maximize value for its shareholders in
B. Provide services without any profit goal
C. Eliminate every operating expense completely in
D. Avoid measuring business performance altogether in

Correct answer: A. Explanation: The lecture states that for-profit firms aim to maximize shareholder value.

3. Which organization is identified as a non-profit example?

A. A university or charitable organization in
B. A car maker maximizing shareholder value
C. A retailer selling goods for profit
D. A supplier negotiating commercial contracts in

Correct answer: A. Explanation: The slides identify charities, universities, and social groups as non-profit examples.

4. What does value added represent?

A. Finished product value minus input costs
B. Input costs minus finished product value
C. Total staff numbers divided by production
D. Revenue measured without considering inputs in

Correct answer: A. Explanation: Value added is the worth of the finished product minus the cost of its inputs.

5. Which item is an input for a car manufacturer?

A. Metal and plastic raw materials in
B. Finished cars ready for customers in
C. Customer service after a purchase in
D. A marketing campaign for new vehicles

Correct answer: A. Explanation: The car-making example lists staff, equipment, metal, plastic, and components as inputs.

6. What is the transformation stage in an organization?

A. Processes turn inputs into outputs
B. Customers purchase finished products in
C. Suppliers receive payments from buyers
D. Managers publish annual financial statements

Correct answer: A. Explanation: Transformation processes convert resources such as materials and labor into finished goods or services.

7. What is Porter's value chain used to analyze?

A. Activities where an organization adds value

B. The personal goals of each employee
C. Only the cost of computer hardware
D. The hierarchy of every management role

Correct answer: A. Explanation: The value chain analyzes a series of activities through which an organization adds value.

8. Which activity appears first in the value chain?

A. Inbound logistics in
B. Customer service in
C. Marketing and sales
D. Outbound logistics in

Correct answer: A. Explanation: The seven activities begin with inbound logistics.

9. Which activity is positioned in the middle of the value chain?

A. Production in this
B. Customer service in
C. Outbound logistics in
D. Finished product storage

Correct answer: A. Explanation: Production is the third activity and is positioned between storage stages in the lecture's chain.

10. Which activity is part of downstream management?

A. Marketing and sales in
B. Inbound logistics in this
C. Raw material receiving in
D. Warehouse storage of inputs

Correct answer: A. Explanation: Downstream management covers finished product storage, outbound logistics, marketing and sales, and customer service.

Part II — Value Chains, SCM, CRM, and IS Processes

11. What is upstream management concerned with?

A. Raw materials and inbound activities
B. Finished goods and customer service
C. Advertising and customer loyalty rewards
D. After-sales service and customer feedback

Correct answer: A. Explanation: The lecture describes upstream management as managing raw materials, inbound logistics, and warehouse/storage.

12. Why should information systems focus on value-chain activities?

A. They can improve high-value activities in this
B. They eliminate the need for business goals
C. They replace every employee in production in
D. They prevent all competition in the market

Correct answer: A. Explanation: The slides advise aiming IS at activities that add the most value.

13. What does exploiting value-chain linkages mean?

A. Connecting activities to improve communication in
B. Separating every department from the others
C. Removing data from all business processes
D. Using only manual reports between departments

Correct answer: A. Explanation: IS can exploit linkages such as communication between marketing and production.

14. Can service firms use value-chain analysis?

A. Yes, service firms have value chains too
B. No, only factories add any value in
C. No, only retailers use information systems in
D. Yes, but only when producing cars in

Correct answer: A. Explanation: The lecture says value chains also apply to service firms such as tax preparers and law firms.

15. What does supply chain management primarily manage?

A. Supplies, quantities, processing, and shipments in
B. Customer loyalty, surveys, and advertising in
C. Employee hiring, promotion, and retirement in
D. Office design, furniture, and building access

Correct answer: A. Explanation: SCM manages supplies, quantities, processing, and the scheduling, monitoring, and control of shipments.

16. What does customer relationship management manage?

A. Customer encounters and customer loyalty in
B. Raw material quantities and supplier shipments
C. Factory equipment and production schedules in
D. Employee job titles and reporting levels

Correct answer: A. Explanation: CRM manages customer interactions across marketing, sales, after-sales service, and loyalty.

17. Which data can CRM use to build customer profiles?

A. Sales, surveys, email, and browsing data
B. Only factory temperatures and machine speed
C. Only supplier invoices and warehouse counts
D. Only employee attendance and payroll data

Correct answer: A. Explanation: The lecture says CRM profiles may draw on sales, surveys, email, and browsing habits.

18. What is one purpose of Tesco Clubcard data?

A. Offer relevant service and loyalty rewards
B. Control how raw steel is processed
C. Assign authority in a management hierarchy
D. Schedule inbound deliveries from suppliers in

Correct answer: A. Explanation: The example describes using transaction data to provide service, discounts, and rewards.

19. What is a traditional view of information systems in processes?

A. IS monitors and controls the process in
B. IS is always the product being sold
C. IS replaces all transformation activities in this
D. IS operates without producing any output in

Correct answer: A. Explanation: The traditional view places IS outside the process to monitor and control it.

20. What is the contemporary view of IS in processes?

A. IS can be part of the process itself
B. IS must remain outside every process in this
C. IS only stores paper-based procedures in this lecture
D. IS cannot provide inputs or outputs in this

Correct answer: A. Explanation: The contemporary view treats IS as inseparable from many processes, providing input, transformation, or output.

Part III — Organizational Structure and Empowerment

21. What is organizational structure?

A. Subunits and how they relate to each other
B. A list of products sold by a company
C. A schedule for deliveries to customers in this
D. A database containing employee addresses in this lecture

Correct answer: A. Explanation: The lecture defines structure through organizational subunits and their relationships.

22. How does authority flow in a traditional hierarchy?

A. From strategic management downwards in this lecture
B. From every customer to the managing director
C. Only sideways between unrelated departments in this
D. From suppliers directly to all employees in

Correct answer: A. Explanation: The traditional structure is a managerial pyramid with authority flowing from higher levels to lower levels.

23. What is a line position?

A. A role directly making or shipping goods in
B. A role that only advises outside the hierarchy
C. A temporary group working across countries in this
D. A customer who uses a company website in

Correct answer: A. Explanation: Line positions directly participate in making, packing, or shipping goods.

24. What is a staff position?

A. A role that assists outside the command chain
B. A role that directly produces every item in
C. A supplier responsible for raw materials in this
D. A customer service process for returns in this

Correct answer: A. Explanation: Staff positions support departments but are not part of the formal chain of command.

25. What characterizes a flat organizational structure?

A. Fewer management layers and more empowerment
B. More hierarchical layers and less authority
C. No communication between employees and managers
D. All decisions reserved for senior executives

Correct answer: A. Explanation: Flat structures reduce management levels and give front-line employees more decision authority.

26. What does employee empowerment mean?

A. More responsibility and authority at work in
B. Less control over decisions and daily tasks
C. Removing access to information needed for work
D. Requiring permission for every small action in

Correct answer: A. Explanation: Empowerment gives employees and managers more responsibility and authority to decide, act, and control their jobs.

27. How can information systems support empowerment?

A. Provide information needed for decisions in
B. Prevent employees from seeing useful data
C. Require managers to approve every action
D. Replace employees with printed reports in

Correct answer: A. Explanation: IS can supply the information employees need to make decisions, even through personal spreadsheets.

28. What is a project organizational structure centered on?

A. Major products or services in
B. Permanent departments only in this
C. Geographic locations without shared goals
D. Customers' individual purchase histories in

Correct answer: A. Explanation: Project structures are organized around major products or services, each with its own functions.

29. What commonly happens to temporary project teams when work ends?

A. Members move to other project teams in this
B. Members must remain in the same team forever
C. All members become external customers in this lecture
D. The organization permanently closes every department in this

Correct answer: A. Explanation: The lecture explains that project members often move to new teams after a project ends.

30. What is a team organizational structure centered on?

A. Work teams or groups in
B. A single strict management pyramid
C. Only external suppliers and customers
D. Separate databases without shared work

Correct answer: A. Explanation: Team structures organize work around teams that may be small or large and temporary or permanent.

Part IV — Virtual Organizations and Organizational Change

31. What characterizes a virtual organization structure?

A. People collaborate across different locations in this
B. All employees work in one office in
C. Every team must meet physically each day
D. All work is performed without telecommunications in

Correct answer: A. Explanation: Virtual structures link individuals, teams, or business units in different places through the Internet or telecommunications.

32. Which is a benefit of virtual teams?

A. Work can continue across time zones
B. Every employee must travel daily in
C. Communication tools become unnecessary in this
D. Disasters always stop all remote work

Correct answer: A. Explanation: Virtual teams can continue work across time zones and maintain operations if a main site is disrupted.

33. What helps virtual teams succeed?

A. Information systems that coordinate joint work
B. Avoiding all communication at project start
C. Outsourcing every core business activity in
D. Preventing team members from sharing information

Correct answer: A. Explanation: The lecture highlights IS coordination, keeping core business in-house, and face-to-face meetings at the start.

34. What is organizational change?

A. Responses to plan and handle changing conditions
B. A permanent refusal to alter work practices
C. A database that records customer purchases in
D. A method for calculating product value added

Correct answer: A. Explanation: The lecture defines organizational change as responses that help organizations plan for, implement, and handle change.

35. Which is an internal source of organizational change?

A. Initiatives started by employees in this
B. A new law imposed by government
C. A natural disaster affecting operations in
D. A competitor introducing a new product

Correct answer: A. Explanation: The slides say internal change can be initiated by employees at all levels.

36. Which is an external source of organizational change?

A. New laws or economic conditions in this
B. An employee's idea for a new process
C. A team's internal learning discussion in this
D. A manager's personal work preference in this

Correct answer: A. Explanation: External factors include competitors, stockholders, laws, regulations, natural events, and the economy.

37. What is sustaining change?

A. An improvement to existing operations in this
B. A change that always destroys the business
C. A decision to avoid all new equipment
D. A process that eliminates customer service in

Correct answer: A. Explanation: Sustaining change improves operations, such as introducing new or cheaper production equipment.

38. What is disruptive change?

A. A technology that can replace existing approaches in
B. A routine minor adjustment to a task in
C. A process that always increases old technology demand
D. A policy that prevents new systems from appearing

Correct answer: A. Explanation: Disruptive change may start weak or unwanted but eventually replace existing technologies.

39. How can organizations reduce resistance to new systems?

A. Involve employees and consult them early
B. Hide the decision until implementation ends
C. Ignore concerns about new work procedures
D. Punish employees for asking questions in

Correct answer: A. Explanation: The lecture recommends employee involvement and consultation, along with agents of change who champion the system.

40. Who is an agent of change?

A. A person who champions a new system
B. A customer who buys a finished product
C. A supplier who delivers raw materials in
D. An employee who refuses every new procedure

Correct answer: A. Explanation: Agents of change understand change dynamics and help overcome resistance.

Part V — Cost Strategies and Reengineering

41. What is outsourcing?

A. Contracting outside professionals for specific needs in
B. Buying every computing resource permanently in this
C. Reducing employee numbers across the company in
D. Redesigning all processes from the ground up

Correct answer: A. Explanation: Outsourcing uses external professional services to meet specific business needs.

42. What is one potential risk of outsourcing?

A. Poor contracts may increase costs in this
B. It always removes all business risks in
C. It guarantees complete organizational control in this
D. It eliminates every need for specialist skills

Correct answer: A. Explanation: Poorly written contracts can add charges and outsourcing can reduce control and flexibility.

43. What is on-demand computing also called?

A. Utility computing
B. Project computing
C. Hierarchical computing
D. Continuous computing

Correct answer: A. Explanation: The lecture uses utility computing as another name for on-demand computing.

44. What is a benefit of on-demand computing?

A. Pay for resources when they are needed
B. Pay for every idle system all year
C. Keep all computing resources unused at peaks
D. Replace every internal strategic activity in this

Correct answer: A. Explanation: On-demand computing lets organizations pay for resources as needed, rather than paying for idle capacity.

45. What does downsizing mean?

A. Reducing employee numbers across a company
B. Hiring more employees for every department
C. Outsourcing all customer relationships in this
D. Adding management layers to the hierarchy

Correct answer: A. Explanation: Downsizing, also called rightsizing, reduces the number of employees, usually across the organization.

46. Why should layoffs often be a last resort?

A. They can damage employee morale in
B. They always increase customer loyalty in
C. They eliminate the need for training
D. They guarantee higher service quality in

Correct answer: A. Explanation: The lecture warns that downsizing can harm morale and lists alternatives such as early retirement, buyouts, job sharing, and transfers.

47. What is business process reengineering?

A. Radically redesigning processes for breakthrough results in
B. Making only minor routine task adjustments in
C. Hiring external staff for a single service
D. Providing computing resources only when needed in

Correct answer: A. Explanation: BPR is the radical redesign of processes, structures, IS, and values to achieve a breakthrough.

48. What is a key goal of reengineering?

A. Achieve major improvements in results in this
B. Preserve every existing process unchanged in this
C. Limit all decisions to front-line workers in
D. Make only small changes within one task

Correct answer: A. Explanation: Reengineering aims for breakthrough improvements such as lower delivery times, better quality, and increased profitability.

49. What is continuous improvement?

A. Repeatedly seeking gradual ways to add value
B. Redesigning every process in one radical step
C. Reducing all staff numbers immediately in this
D. Moving every function to outside contractors in

Correct answer: A. Explanation: Continuous improvement continually seeks ways to improve processes and add value.

50. Who typically drives reengineering?

A. Senior executives from the top down in
B. Workers acting only from the bottom up
C. Customers with no internal involvement in this
D. Suppliers without management participation in this lecture

Correct answer: A. Explanation: The comparison table says reengineering is top-down and driven by senior executives.

Part VI — Continuous Improvement and Change Approaches

51. Who typically drives continuous improvement?

A. Workers close to the business in
B. Only outside consultants and executives in
C. Only customers in a market survey
D. Only suppliers at the delivery stage

Correct answer: A. Explanation: Continuous improvement is bottom-up and driven by workers close to the work.

52. How does IS support continuous improvement?

A. Provides data to guide the team
B. Replaces all workers on the team
C. Removes data from the process in
D. Prevents employees from identifying issues in

Correct answer: A. Explanation: The lecture says IS provides data to guide continuous improvement teams.

53. What is the main difference between BPR and continuous improvement?

A. Radical breakthrough versus gradual changes
B. External suppliers versus customer loyalty
C. Hardware purchases versus software development
D. Virtual teams versus traditional hierarchies

Correct answer: A. Explanation: BPR makes broad, radical changes for a breakthrough, while continuous improvement makes routine gradual improvements.

54. What is a strategy in the organizational context?

A. A long-term plan for achieving goals in

B. A short list of employee phone numbers
C. A database of product shipment records in
D. A routine procedure for entering data in

Correct answer: A. Explanation: The lecture describes strategy as the long-term plan for achieving goals.

55. What was one old rule challenged by reengineering?

A. Hold small orders until a full truckload
B. Always deliver every order immediately in this
C. Let every customer set factory schedules in
D. Store no products before marketing begins in

Correct answer: A. Explanation: The slide explains that holding small orders until a full load reduces delivery costs but slows customer delivery.

56. What trade-off can result from waiting for credit approval?

A. Lower bad debt but poorer customer service
B. Higher inventory and faster order processing in
C. Lower staff numbers and higher morale in
D. Fewer suppliers and improved product variety in

Correct answer: A. Explanation: The lecture lists refusing orders until credit is approved as reducing bad debt but potentially harming customer service.

57. What can automated reengineering improve in production?

A. Output, quality, and processing time in
B. Only office furniture and employee titles
C. Only advertising costs and loyalty cards
D. Only the number of management levels

Correct answer: A. Explanation: The Mittal Steel example reports reduced material use and processing time, with higher output and quality.

58. What does the chapter say about cooperation in new systems?

A. Managers and IS staff must cooperate in
B. Only managers should define every technical detail
C. Only IS staff should set business goals
D. Customers should replace the project team in

Correct answer: A. Explanation: The chapter's third principle says cooperation between managers and IS staff unlocks a new system's potential.

59. Why should IS projects be justified?

A. They should cut costs, raise profits, improve service, or create advantage
B. They should add technology regardless of business needs in this lecture
C. They should increase costs without measurable outcomes in this lecture example
D. They should avoid aligning with organizational goals in this lecture example

Correct answer: A. Explanation: The chapter says new systems should deliver business value through lower costs, higher profits, better service, or competitive advantage.

60. Which organizational structure uses a managerial pyramid?

A. Traditional hierarchical structure
B. Virtual organizational structure
C. Team organizational structure
D. Project organizational structure

Correct answer: A. Explanation: The traditional structure is described as a managerial pyramid.

Part VII — Applying IS to Organizational Processes

61. Which structure can have temporary or permanent work groups?

A. Team structure
B. Traditional hierarchy
C. Single-line structure
D. Outsourcing structure

Correct answer: A. Explanation: Team structures can use temporary or permanent teams depending on the task.

62. Which structure most clearly depends on Internet collaboration?

A. Virtual structure
B. Traditional hierarchy
C. Line-and-staff structure
D. Product-only structure

Correct answer: A. Explanation: Virtual structures connect people in different locations through the Internet or telecommunications.

63. Which item is a potential external pressure for change?

A. A new regulation in this lecture
B. A personal spreadsheet created by staff
C. An internal team meeting in this
D. A routine employee training session in

Correct answer: A. Explanation: New laws and community regulations are listed as external change factors.

64. Which is an alternative to compulsory layoffs mentioned in the lecture?

A. Job sharing or early retirement
B. Removing all customer support services
C. Ending every supplier relationship in
D. Replacing every manager with software

Correct answer: A. Explanation: The slides list early retirement, buyouts, job sharing, and transfers as alternatives.

65. Why can outsourcing help a firm focus?

A. External experts handle selected needs in
B. Every core activity moves outside permanently
C. All internal knowledge becomes unnecessary in
D. Every contract guarantees lower total costs

Correct answer: A. Explanation: Outsourcing can let a firm focus on its core business while using external expertise for specific needs.

66. Which description best fits value-chain analysis?

A. Examining linked activities that add value in
B. Counting only the computers in an office
C. Measuring employee satisfaction without process data in
D. Listing company rules without business context in

Correct answer: A. Explanation: The value chain examines activities from inbound logistics through customer service to identify how value is added.

67. Which activity comes immediately after production in the listed chain?

A. Finished product storage
B. Inbound logistics in
C. Marketing and sales
D. Customer service in

Correct answer: A. Explanation: The listed sequence is inbound logistics, warehouse/storage, production, finished product storage, outbound logistics, marketing and sales, and customer service.

68. Which activity is the final step in the value chain?

A. Customer service in
B. Production in this
C. Inbound logistics in
D. Finished product storage

Correct answer: A. Explanation: Customer service is the seventh and final activity in the lecture's value chain.

69. What does SCM help coordinate?

A. Supply availability and shipment schedules in
B. Customer loyalty points and survey responses
C. Employee authority and management layers in
D. Work teams across unrelated time zones

Correct answer: A. Explanation: SCM plans supplies, quantities, processing, and shipment schedules and controls.

70. What is a core purpose of CRM?

A. Retain loyal customers through better encounters
B. Control production equipment and raw materials
C. Reduce the number of management levels
D. Coordinate remote workers across time zones

Correct answer: A. Explanation: CRM manages customer encounters and aims to retain loyal customers.

Part VIII — Organizational Structures in Practice

71. What does a flat structure often allow front-line staff to do?

A. Resolve customer problems without manager approval in
B. Refer every minor decision to several managers
C. Avoid responsibility for their work in this
D. Ignore information provided by the system in

Correct answer: A. Explanation: The lecture gives a shop assistant handling a customer request without asking a manager as an empowerment example.

72. What is one resilience benefit of virtual teams?

A. Work can continue if the main site is disrupted
B. Every employee must remain in the main office in
C. The organization no longer needs information systems in this
D. All projects must stop when one person is absent

Correct answer: A. Explanation: Virtual teams in other locations can keep work going if disaster affects the primary site.

73. What is the best description of sustaining change?

A. Improving an existing way of operating in
B. Replacing a technology after it becomes obsolete
C. Eliminating all organizational processes in this lecture
D. Reducing every service to a manual task

Correct answer: A. Explanation: Sustaining change improves existing operations, for example through new or cheaper equipment.

74. What is the best description of disruptive technology?

A. An approach that may eventually replace established technology

B. A small routine improvement to one work task
C. A policy that prevents market competition in this
D. A temporary meeting between remote employees in this

Correct answer: A. Explanation: Disruptive technology may begin with weak performance or demand but can eventually replace existing technologies.

75. What should an organization do before implementing a new system?

A. Consult employees and identify change champions in
B. Avoid explaining the reasons for the system
C. Exclude users from all design decisions in
D. Assume resistance cannot be reduced in this

Correct answer: A. Explanation: Employee involvement and change champions help reduce resistance to new systems.

76. Which choice best summarizes the chapter's first principle?

A. IS add value and are shaped by structure and change
B. IS matter only to technical departments in this lecture example
C. IS always require a traditional hierarchy in this lecture example
D. IS should be adopted without evaluating outcomes in this lecture

Correct answer: A. Explanation: The first principle links IS value to organizational structure and attitudes toward change.

77. Which choice best summarizes the chapter's second principle?

A. New systems should deliver measurable business benefits in
B. New systems should be purchased for novelty alone
C. New systems should increase costs and complexity in
D. New systems should ignore customer service in this

Correct answer: A. Explanation: The chapter says new systems should cut costs, raise profits, improve service, or create competitive advantage.

78. Which choice best summarizes the chapter's third principle?

A. Managers and IS personnel should cooperate in
B. Managers should avoid communicating with IS staff
C. IS staff should ignore business requirements in
D. Customers should independently design every system in

Correct answer: A. Explanation: Cooperation between business managers and IS personnel is essential to realizing the potential of systems.

79. What is a central aim of the value chain?

A. Identify where value is added across activities
B. Replace all supply and customer processes in
C. Measure only the cost of computer equipment
D. Assign every employee a different reporting line

Correct answer: A. Explanation: The value chain helps analyze where and how value is added.

80. Which pairing is correct?

A. SCM manages supplies; CRM manages customers
B. SCM manages customers; CRM manages supplies
C. SCM manages staff; CRM manages equipment
D. SCM manages projects; CRM manages hierarchy

Correct answer: A. Explanation: SCM concerns supplies and shipments, while CRM concerns customer encounters and loyalty.

Part IX — Change, Costs, and Competitive Value

81. Which pairing is correct for change approaches?

A. BPR is radical; improvement is gradual in this
B. BPR is bottom-up; improvement is top-down in this
C. BPR is always narrow; improvement is always broad
D. BPR excludes IS; improvement requires no data in

Correct answer: A. Explanation: The lecture contrasts broad, top-down reengineering with narrower, bottom-up continuous improvement.

82. What is one way IS creates competitive value inside a process?

A. Integrate information across linked activities in
B. Keep each department's data isolated in
C. Prevent staff from seeing process results
D. Remove all customer feedback from decisions

Correct answer: A. Explanation: IS can exploit linkages between activities by improving communication and sharing information.

83. Which statement about organizational structures is correct?

A. Structure affects how an organization uses IS
B. Structure has no relationship to information systems
C. Only virtual organizations use information systems in
D. Every organization must use the same structure

Correct answer: A. Explanation: The lecture says organizational structure affects how an organization views and uses IS.

84. Which outcome is associated with successful reengineering?

A. Shorter delivery times and better quality
B. More delays and poorer customer satisfaction
C. Higher material waste and slower processing
D. More hierarchy and less employee involvement

Correct answer: A. Explanation: The lecture lists shorter delivery times, improved quality, customer satisfaction, and profitability among potential reengineering benefits.

85. Which outcome is associated with continuous improvement?

A. Higher customer satisfaction and loyalty in this
B. A single radical redesign across every department
C. A permanent reduction in customer feedback in
D. Elimination of all process measurement in this

Correct answer: A. Explanation: Continuous improvement can increase customer satisfaction and loyalty and support long-term profitability.

86. What is the main reason to evaluate an information system?

A. Determine whether it delivers business value in
B. Confirm that it uses the newest interface
C. Count how many screens it contains in
D. Ensure every department uses identical software in

Correct answer: A. Explanation: The chapter's principles emphasize that systems should produce business benefits; evaluation checks whether they do.

87. Which flow is identified as moving through the value chain?

A. Material, decision, value, and data flows
B. Only cash, payroll, and hiring flows
C. Only customer complaints and return flows
D. Only electricity, water, and transport flows

Correct answer: A. Explanation: The speaker notes identify material and physical flow, decision flow, value flow, and data flow.

88. What can a value-chain analysis help a company identify?

A. Opportunities for efficient transaction processing in
B. Ways to remove every customer interaction
C. Reasons to stop sharing business information
D. Methods to avoid all organizational change

Correct answer: A. Explanation: The lecture says value-chain analysis can lead to efficient transaction processing, market expansion, and shared information.

89. What does SCM help determine before production?

A. Which supplies and quantities are needed
B. Which employees should receive promotions in
C. Which customers should join loyalty programs
D. Which management levels should be removed

Correct answer: A. Explanation: SCM determines required supplies and quantities, then helps manage processing and shipments.

90. How can CRM feedback help a business?

A. Shape products to better meet customer needs
B. Replace all supplier contracts with surveys in
C. Remove the need for after-sales service in
D. Set the reporting hierarchy for production in

Correct answer: A. Explanation: CRM gathers customer feedback and uses it to help design new products.

Part X — Review and Application

91. Why might a disruptive technology threaten an established firm?

A. It may eventually replace existing technology in
B. It always increases demand for old products
C. It prevents customers from changing preferences in
D. It guarantees every competitor will exit in

Correct answer: A. Explanation: The lecture warns that firms that fail to adapt to disruptive technologies can fail.

92. What is one drawback of downsizing?

A. Employee morale may decline in
B. Supplier shipment schedules always improve
C. Customer loyalty always increases in
D. Core business skills automatically expand

Correct answer: A. Explanation: Downsizing can cut payroll but may harm morale.

93. What is the purpose of job sharing as an alternative?

A. Reduce staffing pressure without immediate layoffs
B. Increase management layers across the company
C. Replace all internal staff with contractors
D. Stop employees from learning new procedures

Correct answer: A. Explanation: Job sharing is listed as a voluntary alternative to compulsory layoffs.

94. Which approach is broader in scope?

A. Business process reengineering in this
B. Continuous improvement in one task
C. Personal spreadsheet forecasting in this

D. Routine customer service adjustment in

Correct answer: A. Explanation: BPR is broad and cuts across departments, whereas continuous improvement is narrower.

95. How does continuous improvement typically begin?

A. Workers identify routine improvement opportunities in
B. Executives redesign every process at once
C. External suppliers take over all operations
D. Customers directly replace internal managers in

Correct answer: A. Explanation: Continuous improvement is bottom-up and driven by workers close to the business.

96. Which change approach is suited to a serious process problem requiring a breakthrough?

A. Business process reengineering
B. Routine continuous improvement
C. On-demand computing in
D. Customer relationship management

Correct answer: A. Explanation: BPR uses strong, broad action to solve serious problems and achieve a breakthrough.

97. What is a key reason for keeping core activities in-house in virtual work arrangements?

A. Protect focus on the organization's core business
B. Prevent all work across different time zones
C. Avoid using information systems for coordination in
D. Ensure every project team is temporary in

Correct answer: A. Explanation: The lecture lists keeping in-house staff on the core business as a key to success.

98. Which statement best describes the relationship between IS and organizational change?

A. IS can support and be reshaped by change
B. IS never affects how work is performed in
C. IS only records change after it is complete
D. IS makes employee consultation unnecessary in this lecture

Correct answer: A. Explanation: The chapter explains that IS both supports organizational processes and is influenced by structure and change.

99. What does competitive advantage mean in the chapter's context?

A. An edge that helps a firm compete successfully in
B. A policy requiring all firms to use identical systems
C. A reduction in all customer service activities in this
D. A structure with more management levels in this lecture

Correct answer: A. Explanation: The chapter's principles frame IS as a way to achieve competitive advantage, improve service, reduce costs, or increase profits.

100. Why should managers and IS personnel work together?

A. To align system capabilities with business needs
B. To separate technology decisions from organizational goals
C. To prevent employees from participating in change
D. To ensure systems are purchased without evaluation

Correct answer: A. Explanation: The lecture's third principle states that cooperation between managers and IS staff unlocks the potential of new or modified systems.